PLAN

PREPARATION

Business plan

A comprehensive paper that details the situation analysis, objectives, strategies and tactics and how to monitor and control the enterprise. Morato, E., 2016

- A Business Plan **summarizes the plan of action after a course of action** has been determined through the Feasibility Study
- A Business Plan provides a ***Planning*** function
- A Business Plan outlines the actions needed to take the proposal from "idea" to "reality"
- A Business Plan tells *How* your business will be created and *Why* it will be successful
- A Business Plan provides a road map for strategic planning

PARTS OF BUSINESS PLAN

I. Introduction
II. Executive Summary
III. Market Aspect
IV. Technical Aspect
V. Organization and Management Aspect
VI. Financial Aspect
VII. Investment Decision Analysis

Contents of the business plan

I. INTRODUCTION

A. THE BUSINESS CONCEPTS AND THE BUSINESS MODEL

A **business concept** contains the essence of the enterprise in a concise but powerful manner. It stresses the value of the product offering to the target customers who would most likely to by it.

A **business model** is a formula on how the enterprise exactly plans to make money out of the business .

4 AREAS OF MAEYMAKING WHICH THE BUSINESS MODEL MUST ADDRESS:

1. How will the business raise revenues? What critical factors will cause the revenues to materialize?
2. What will be the costs of the enterprise products and other costs of doing business? How will these costs be managed to ensure comfortable profits? What critical factors will drive the costs? How can these factors be controlled?
3. What will be the major investments of the enterprise? Why will these investments give the enterprise a competitive edge?
4. How will the enterprise finance the investments? How will the enterprise fund its growth?

B. THE BUSINESS GOALS; VISION, MISSION, OBJECTIVES, AND PERFORMANCE TARGETS

The business goals show the future and long-term prospects of the enterprise.

CASE EXAMPLE 1: DOUBLE HAPPINESS

Vision

"To establish a commanding presence and market leadership as a food chain servicing major b terminals in Central Luzon with the next five years"

Mission

'To provide quality food and passenger convenience services that would generate sufficient profits for the stockholders and improve the lives of its employees"

CASE EXAMPLE 1: DOUBLE HAPPINESS

OBJECTIVES:

1. To establish a strong market presence in Central Luzon;
2. To earn a good financial returns for its owners;
3. To delight customers with high quality food and services; and
4. To make Double Happiness a happy and rewarding place to work in.

II. THE EXECUTIVE SUMMARY

The doorway to the business plan. This section provides an **overview of the whole thing** and highlights the points made elsewhere in the business plan.

THE EXECUTIVE SUMMARY

- ✔It is a synthesis of the entire plan.
- ✔Contains the major argumentations of the business proponent on why the business will work and succeed

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THE EXECUTIVE SUMMARY

Should introduce and highlight the good qualities of:

- **The business proponents and their partners;**
- **The enterprise organization and its capabilities;**
- **The technology providers and their expertise and experience; and**
- **The suppliers and all the major service providers**

III. MARKET ASPECT

- Product / Service Description
- Price of the Product
- Target Market
- Demand
- Supply /Competitors
- Demand and Supply Analysis
- Channels of Distribution
- Promotion

IV. TECHNICAL ASPECT

- Production Process
- Facilities and Tools
- Production Volume
- Production Cost
- Location
- Raw Materials

V. ORGANIZATION AND MANAGEMENT ASPECT

1. **FORM OF BUSINESS / BUSINESS OWNERS**
2. **ORGANIZATIONAL STRUCTURE**
3. **DUTIES AND RESPONSIBILITIES**

THE TARGET CUSTOMERS AND THE MAIN PROPOSITION

Knowing where the customers are exactly concentrated, the BP should then pinpoint :

- What the customers buy
- How they buy
- When they buy
- Where they buy
- What convinces them to buy

VI. FINANCIAL ASPECT

A. TOTAL PROJECT COST

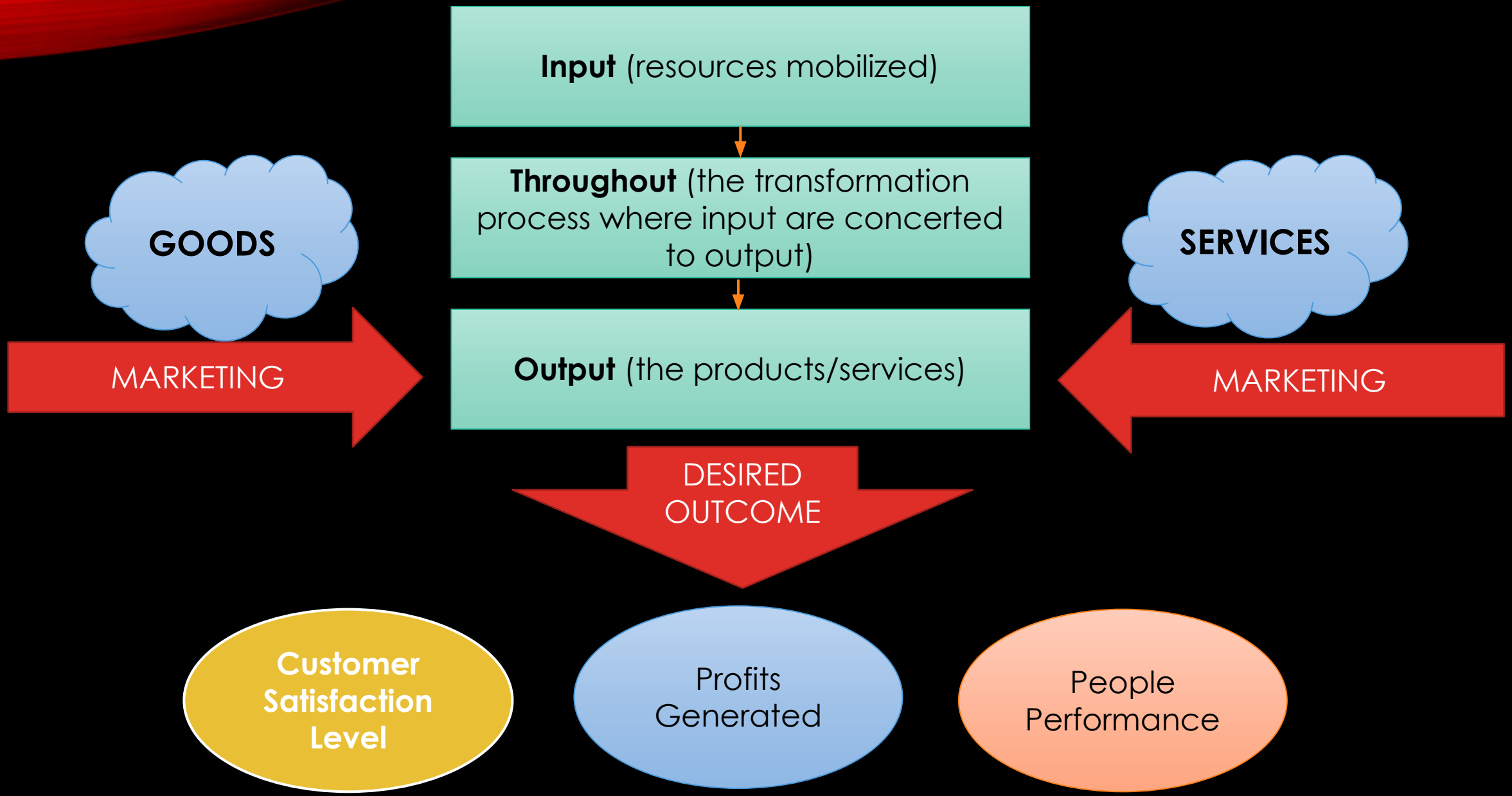
B. PROJECTED FINANCIAL STATEMENT

- B.1 PROJECTED INCOME STATEMENT
- B.2 PROJECTED CASH FLOW
- B.3 PROJECTED BALANCE SHEET

The products/services must be described by highlighting the features and attributes that would most appeal to the target customers. The BP should also ***prove that the products/services would be accepted and carried by the distribution channels.***

VII. INVESTMENT DECISION ANALYSIS

1. RETURN ON INVESTMENT (ROI)
2. PAYBACK PERIOD

The BP should expound on the **Enterprise Strategy (ES)** by mapping the competitive landscape and by situating the enterprise and its competitors as to their strategies and chosen positioning

The Enterprise Delivery System